TOPIC 2 · AUSTRALIA'S PLACE IN THE GLOBAL ECONOMY

ABC News markets blog
Tuesday 27 Oct 2026

The dollar sits near 70 US cents as Australian bond yields stay above US yields

> The Australian dollar traded at about **70 US cents** at Tuesday's close. Australia's 10-year government bond yield was **5.16%**, against **4.99%** in the US. Iron ore was soft at US$90.60 a tonne, while Brent oil stayed near US$115 a barrel.

WHAT HAPPENED

- The RBA cash rate is **4.60%** after four rises in 2026, and markets see a real chance of a fifth hike on 3 November.
- The **US Fed** is expected to hold its rate at 3.75–4.00% this week.
- A positive **interest-rate differential** makes Australian assets more attractive to foreign investors, which raises demand for AUD.
- **Commodity prices** pull in different directions: iron ore, a major Australian export, is soft while oil import costs are high.
- The ABS releases **International Trade Price Indexes** on Thursday 29 October, giving an update on export and import prices.

Interest-rate differential: the gap between Australian and overseas interest rates.
Terms of trade: the index of export prices divided by the index of import prices, multiplied by 100.

KEY NUMBERS

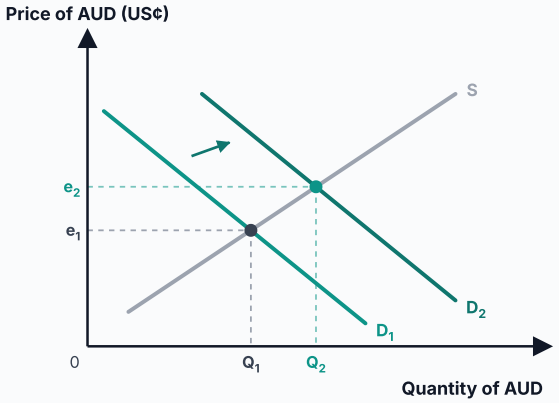
~70 US¢
AUD at Tuesday's close

5.16%
Australian 10-year bond yield

4.99%
US 10-year bond yield

US$90.60
iron ore, per tonne

DIAGRAM — Higher relative interest rates lift demand for AUD



When Australian yields rise relative to US yields, foreign investors buy more Australian bonds and deposits. To do that they need **Australian dollars**.

Demand for AUD shifts from **D_1 to D_2**, and the exchange rate rises from **e_1 to e_2**. This is a capital inflow on the **financial account**.

Exam angle: interest rates are only one influence. Weak iron ore prices reduce demand for AUD from buyers of Australian exports, which can offset the support from higher yields. That helps explain why a high-rate AUD is still only around 70 US cents.

FLOW CHART — From the RBA to the dollar

RBA keeps rates high (4.60%) → Australian yields above US yields → Capital inflows → Demand for AUD rises → **AUD supported**

SYLLABUS LINK

Topic 2 – **Exchange rate determination**: interest-rate differentials, commodity prices and the terms of trade, and capital flows on the financial account.

TRY THIS

Explain two factors that influence the value of the Australian dollar. Refer to recent data in your answer. **(4 marks)**

ABC News – markets blog, 27 Oct: https://www.abc.net.au/news/2026-10-27/asx-markets-business-live-news-anthropic/107312526
ABS release calendar: https://www.abs.gov.au/release-calendar/future-releases